

Small is BIG

Initiatives like self help groups and micro-finance institutions are set to bring about a paradigm shift in the availability of credit for all

■ By Amarnath K. Menon

India, with around 60,000 bank branches, has the fourth largest banking infrastructure in the world but 94 per cent of its 6,00,000-odd villages do not have a single branch. If a vast number of weavers, fishermen, artisans, and even rag pickers living on the periphery of urban society, have been able to improve their lives in any manner today it is because of self-help groups and micro-finance institutions.

In times when government efforts in reducing poverty have been of little consequence, promoting sustainable livelihood particularly among marginalised groups such as women, is possible only by providing them financial services and technical help. To bring about such a change what is needed are focused efforts which perceive reduction of poverty not through efficient delivery of handouts but by helping poor investors create micro-finance institutions. The idea is to help them get a competitive rate of return for their money so that they are able to access mainstream capital.

The paradigm shift in extending micro-credit, which in turn leads to inclusive growth, was spawned by micro-finance initiatives, mooted as supplementary credit delivery networks centred around two models—the self-help group (SHG)-bank linkage programme and micro-finance institutions (MFIs). The SHG-bank linkage took shape in 1986 when the National Bank for Agriculture and Rural Development (NABARD) gave the



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first formal loan to Myrada, a voluntary organisation in Karnataka, that helped form a large number of SHGs. Basix, the earliest MFI to promote sustainable livelihood among the poor, was launched in 1996. Spandana, Share and SKS Microfinance are three big MFIs in India. These initiatives, which were started as an outreach programme aimed at promoting thrift, have made immense contribution towards empowerment of rural women. The phenomenal outreach of the SHG-bank linkage programme has enabled more than 41 million poor households gain access to funds from the formal banking system. The challenge for the SHG promoting institutions is in building capacity through training programmes, particularly due to the absence of quality resource centres at the district level. The MFI model, which helps in building a more mature level of enterprise, is comparatively costlier in delivery of financial services because of the low volume and bigger size of loans. It makes up for that, however, through innovative strategies to widen the scope, outreach and scale of financial services.

Many graduates from distinguished management schools have started new-generation livelihood promotion institutions, which are actively promoting and fostering inclusive banking and economic growth since

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"Together, we can and must build financial sectors that help people improve their lives."